Financial *Analysis*

Presented by Tran Dieu Trang

Why did performance decline in the middle of the year?

Presentation Overview

- Company Requirement
- Executive Summary
- Problem Statement
- Recommendations

Company Requirement

Establishing the business context and core management objectives for the 2023 fiscal year

Context

A multi-sector enterprise operating in the Sports & Health industry.

Profitability

Maintain sustainable profit across product lines

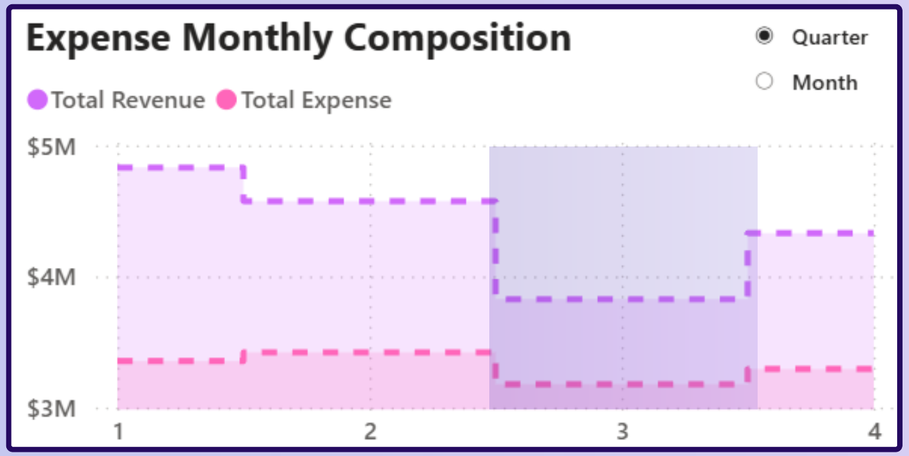
Cost Control

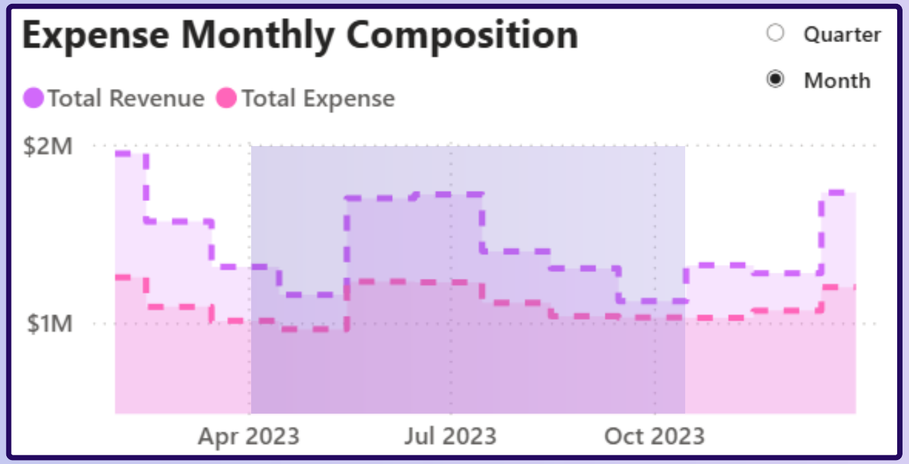
Optimize COGS and Opex

Resource Allocation

Identifying high-margin contributors to optimize capital distribution and investment decisions.

Executive Summary





Situation

- The company operates a structured **P&L model**, managing **15 detailed subgroups** to safeguard bottom-line results.

Complication

- Significant profit volatility throughout the year, with **Q3 profit dropping nearly 70% compared to Q1.**
- **Profit margin deteriorated from 35.6% in January** to only **8.2% in September**.

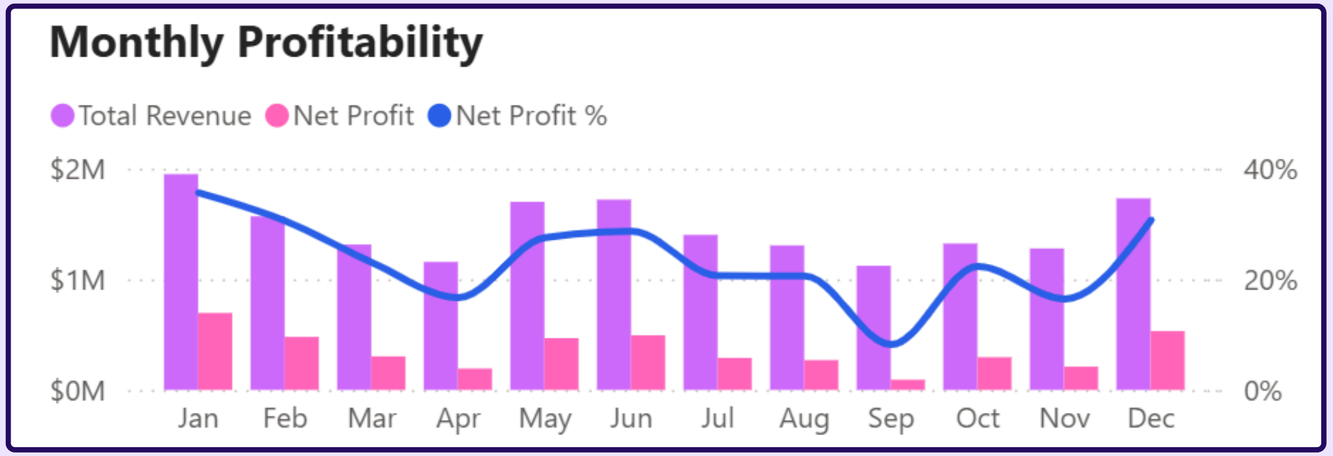
Question

- What caused the **Q3 downturn**?
- Is there a **recovery trend**?

Answer

- **Revenue declined 21% from Q2** while **expenses decreased only 9%.**
- **December** achieved **$390K profit (22.1% margin)**, second highest in second half

Revenue is highly seasonal - Q1 peak, Q3 trough, Q4 recovery



Metric	Jan	Sep	Change	Dec	Change
Revenue	$1.95M	$1.12M	↓43%	$1.73M	↑55%
Expense	$1.25M	$1.03M	↓18%	$1.20M	↑17%
Net Profit	$0.69M	$0.09M	↓87%	$0.53M	↑489%
Margin	35.6%	8.2%	↓27.4%	30.70%	↑22.5 pp

- **$70K gap** between Apr and Sep **expense** despite **similar revenue levels**
- **4 months struggled below 20% margin** - all in mid-year

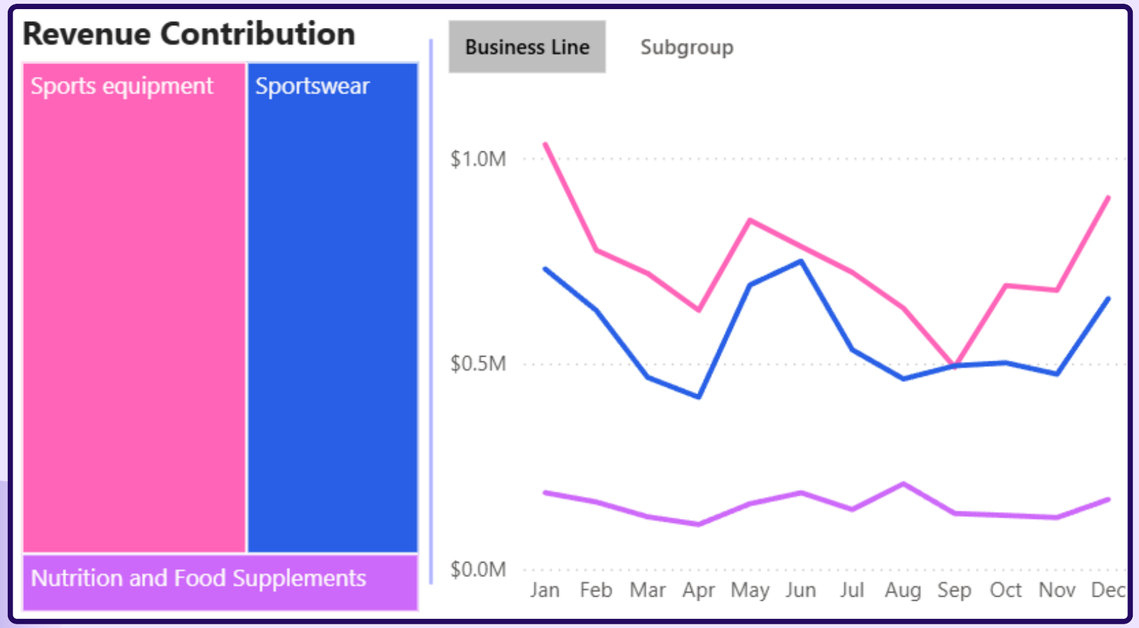
Why September was devastating:

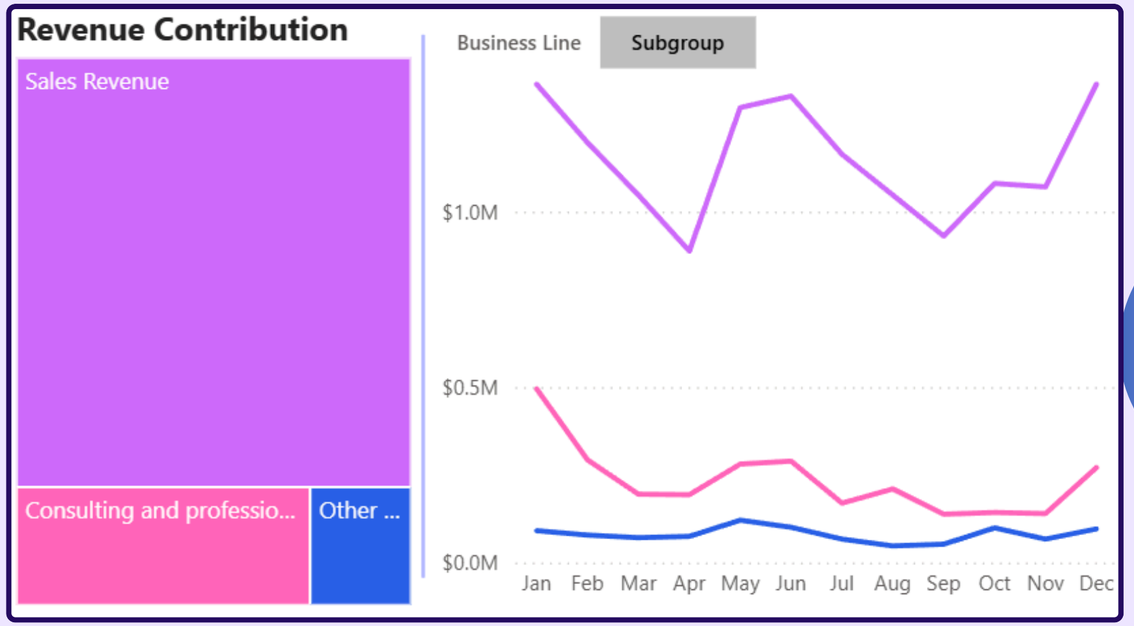
- **Expense barely moved**, despite **revenue dropping twice** as much
- Every **$1 of revenue** lost in September came with **$0.85 of cost** still on the books
- **Margin** compressed to 8.2% - **less than 1/4 of January's** 35.6%

The Recovery:

- **December achieved January-level margin** (30.7%) - proving the business can be highly profitable
- **Revenue increased 55%, expense increased only 17%** - positive operating leverage
- The gap between **September** and **December** is $0.44M of **additional profit from the same cost base**

Sportswear dominates revenue, with sales revenue as the primary driver



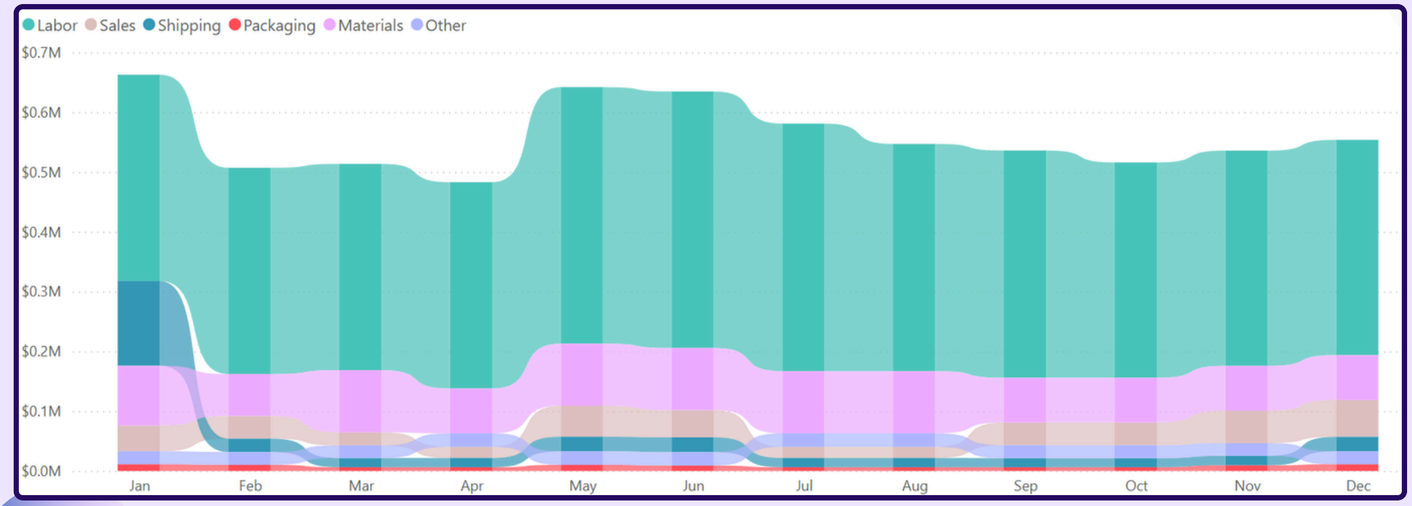


- Sportswear leads with $8.1M annually - **42% of total revenue**.
- Sport equipment **declined 42.14%** from **May ($848.5K) to September ($490.9K)**
- Nutrition showed **the most stable trend** but **the lowest absolute contribution**.

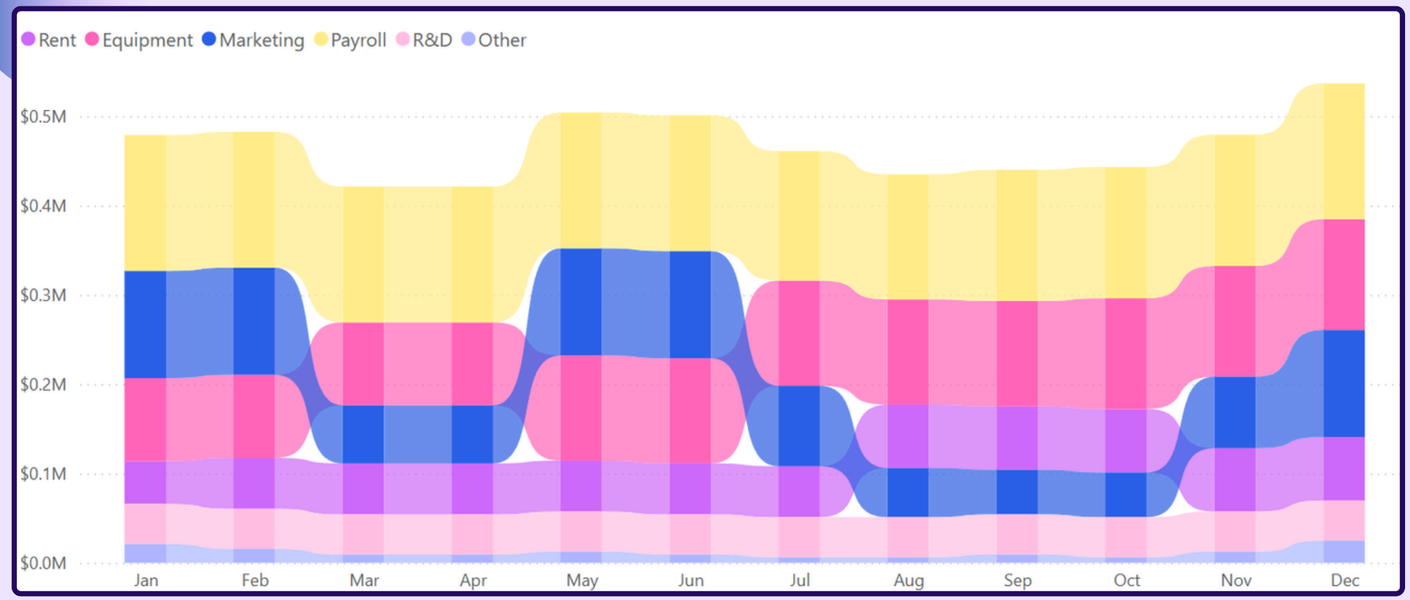
- Sales Revenue alone accounts for **nearly 4 out of every 5 dollars earned**.
- Consulting revenue **declined 72%** from **Q1 ($495K) to Q4 ($138K)**.
- Other income **remained** flat across quarters.

*Q3 **decline** was driven entirely by these two pillars, exposing **concentration risk***
*Q4 **recovery** was broad-based across 3 business lines, and especially in sales revenue*

COGS is dominated by Labor, while Opex is driven by Marketing & Payroll

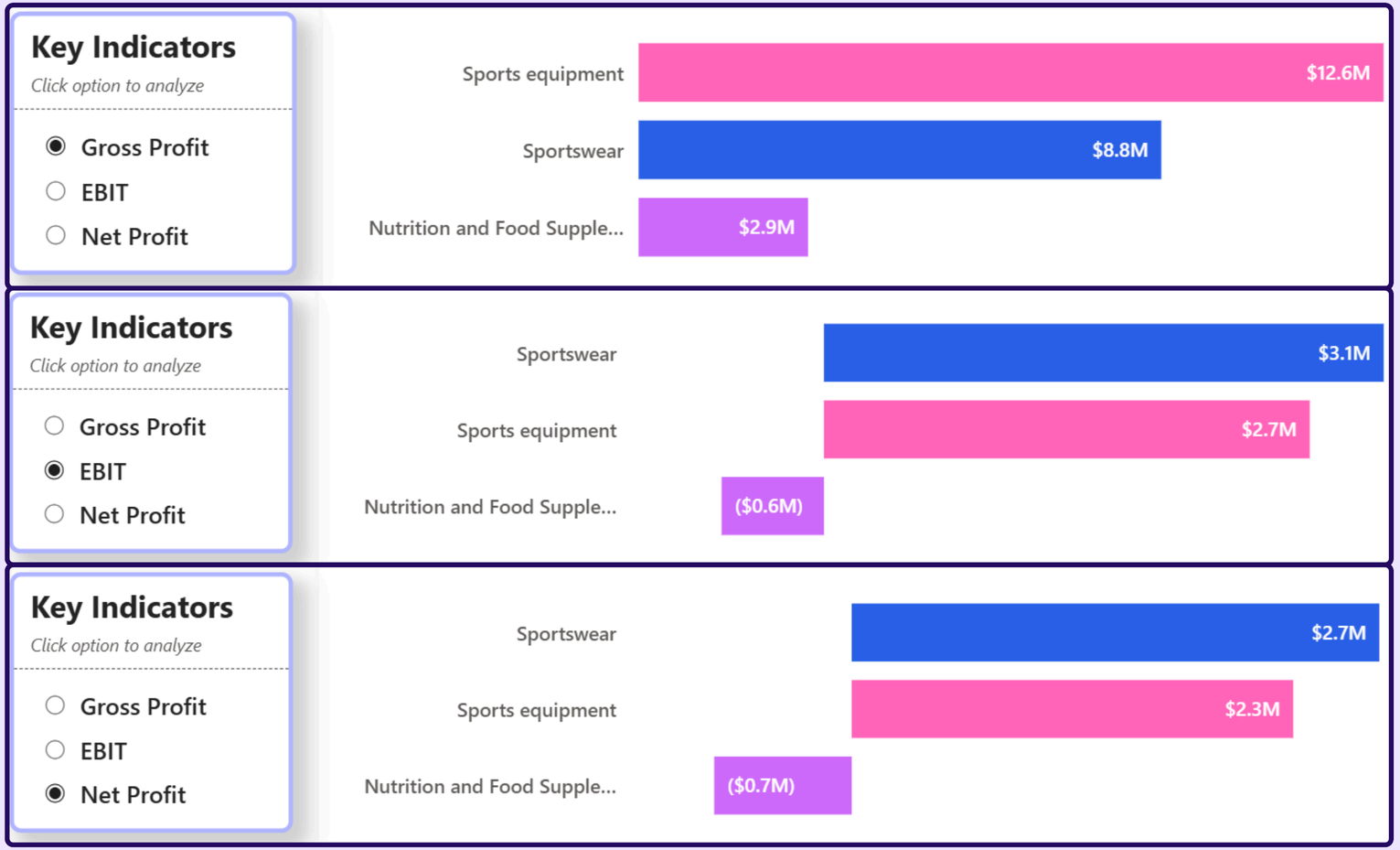


- **Labor** experienced **67% of total COGS** ($6.71M), **spiked 24% in May - June**, adding $168K in just two months
- **Shipping** peaked in January at $142K - **9x higher than the rest of the year**
- **Sales cost surged 225% from April** ($19K) **to December** ($62K)



- **Marketing & Payroll** - **51% of total Opex**
- **Equipment** cost surged **33%** during the year
- **Marketing** was cut **58%** from $120K (Jan) to $50K (Sep), then **rebounded** to $120K in Dec

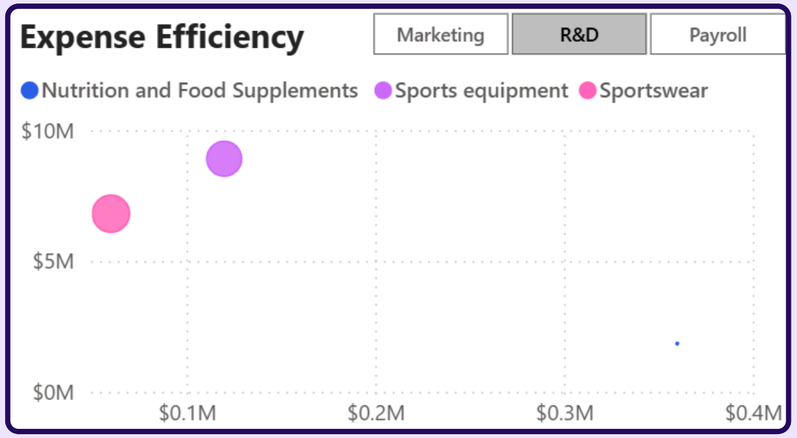
Gross Profit Margin Is strong at 62%, but only 25% reaches bottom line

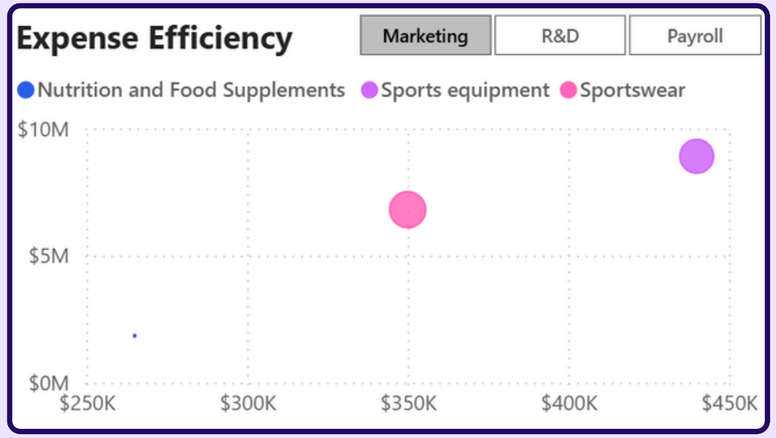


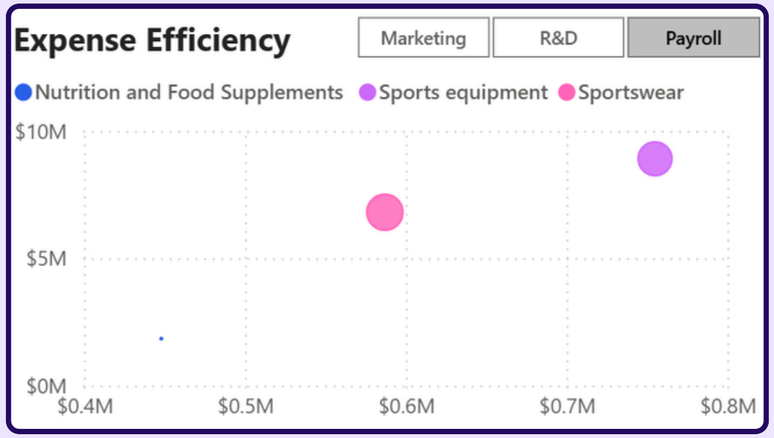
- OpEx is the single **biggest profit killer** - $5.6M erased
- For every **$1 of gross profit, $0.0.62 goes to OpEx**
- Nutrition's **OpEx ($1.40M) exceeds its gross profit ($0.83M)** - impossible to be profitable

The difference is not gross margin - it's OpEx control

Nutrition is outspent and outperformed in OpEx







R&D

- **Nutrition** spends **3x** more on R&D than **Equipment**, **6x** more than **Sportswear**; but **revenue per $1 is only 7-9% of peers**
- **Nutrition's** R&D ROI is **$5.11** vs **$74.25** for **Equipment**, **$113.50** for **Sportswear**

Marketing

- **Nutrition spends 24-40% less** than peers on marketing, but **revenue per $1 is only 34-35% of peers**
- Every **$1 of marketing** in **Nutrition** returns **$6.94** - vs $19.46-20.25 for peers

Payroll

- **Nutrition spends 24-41% less** on payroll than peers, but **revenue per $1 is only 35% of peers**
- If **Nutrition** achieved peer efficiency (**$11.70 per $1**), the same payroll would generate **$5.24M revenue - 2.8x actual**

WHAT-IF *Assumptions*

Revenue Assumptions

-20% | -15% | -10% | -5% | 0% (Bas | +5% | +10% | +15% | +20%

COGS Adjust

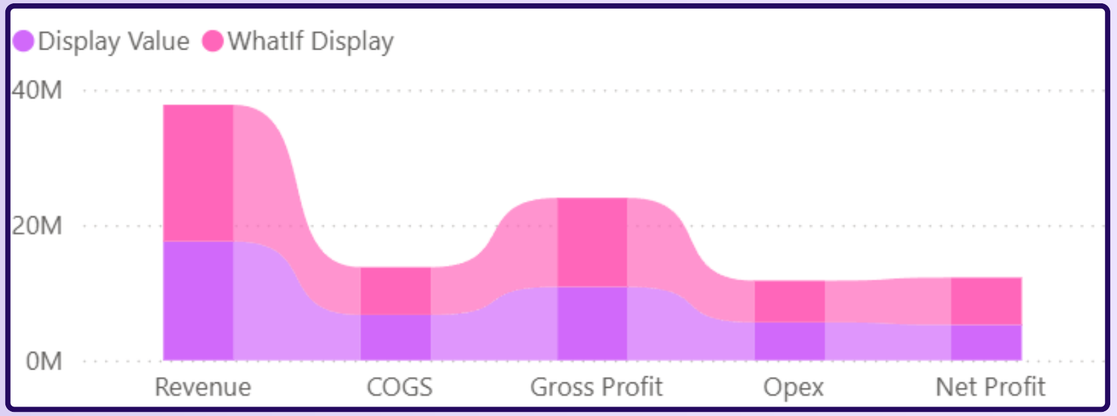
-20% | -15% | -10% | -5% | 0% (Bas | +5% | +10% | +15% | 20%

OPEX Adjust

-20% | -15% | -10% | -5% | 0% (Bas | +5% | +10% | +15% | 20%

Metric	Display Value	WhatIf Display	Impact Display	Impact %
Revenue	17,559,820.00	20,193,793.00	2,633,973.00	15.00%
COGS	6,711,500.00	7,047,075.00	335,575.00	5.00%
Gross Profit	10,848,320.00	13,146,718.00	2,298,398.00	21.19%
GP Margin	0.62	0.65	0.03	5.38%
Opex	5,604,800.00	6,165,280.00	560,480.00	10.00%
Net Profit	5,243,520.00	6,981,438.00	1,737,918.00	33.14%
Net Margin	0.30	0.35	0.05	15.78%

- Every **$1 of additional revenue** generates **$0.66 of net profit**
- COGS control (+5%) + OpEx discipline (+10%) = margin expansion
- **Net profit growth** outpaces revenue growth by **2.2x**



RECOMMENDATIONS
Short - term

Tighten COGS control to protect Gross margin

- **Target COGS growth below 5%**, achieved through **supplier renegotiation** and **volume discounts**
- **Reduce shipping cost volatility** by locking in **freight contracts**, especially for Sports Equipment
- **Optimize materials sourcing** for Nutrition, reduced 10-15% with **bulk purchasing**

Reallocate resources

- **Pause 50% of Nutrition R&D projects** ($180K), redirect to Sportswear and Equipment where R&D ROI is 14-22x higher
- **Shift $100K marketing budget** from Nutrition ($6.94 ROI) to Sportswear ($19.46 ROI) for higher return

Stabilize Nutrition's cost structure

- **Freeze non-essential R&D projects**, targeting $150-200K immediate cost reduction
- **Review headcount efficiency**, aiming to improve revenue per payroll dollar from $4.11 to $6.00 within 6 months
- **Renegotiate rent contracts**, targeting 10-15% reduction in fixed overhead

RECOMMENDATIONS
Long - term

Nutrition turnaround

- **Reduce Nutrition R&D** spend to 2-3% of revenue, achieved through **stage-gate funding** and **commercial viability reviews**
- **Improve payroll efficiency** from $4.11 to $8.00 revenue per $1, **restructured through sales incentives** and **productivity metrics**

Build a scalable Operating Model

- **Implement zero-based budgeting** for OpEx, targeting 10-15% cost reduction in low-ROI categories
- **Establish R&D ROI benchmark** of 20x minimum, ensuring all new projects meet commercial return thresholds
- Create variable cost structure flexing with revenue, achieved through **flexible staffing** and **performance-based pay**

Revenue diversification

- **Rebuild consulting revenue pipeline**, targeting recovery to $1.0M annual run rate within 24 months
- **Launch subscription models** for Nutrition and Sportswear, aiming for 10-15% of revenue from recurring streams by 2026
- **Reduce Sales Revenue concentration** from 78% to 70%, diversifying through **new service offerings** and **partnerships**

THANKS *You*

Financial Analyst

Tran Dieu Trang dieutrang25122004@gmail.com www.linkedin.com/in/trandieutrang2512/